

Wage & Hour Compliance Policy

Effective Date: Immediately

Policy Owner: People Operations

Approved By: Executive Leadership Team

Applies To: All U.S.-Based Employees

Review Cadence: Annual or as required by law

Confidential – Internal Use Only

Purpose

MakeWorkInc is committed to complying with all applicable federal, state, and local wage and hour laws.

This policy establishes:

- Employee classification standards
- Timekeeping requirements
- Overtime rules
- Pay practices
- Prohibition of off-the-clock work

Strict adherence to wage and hour compliance reduces litigation risk, financial exposure, and regulatory penalties.

Scope

This policy applies to all U.S.-based employees of MakeWorkInc.

Wage and hour laws vary by jurisdiction. Where state or local law provides greater protections than this policy, the company will comply with applicable legal requirements.

Employee Classification

Employees are classified as either:

- **Exempt** (not eligible for overtime)
- **Non-Exempt** (eligible for overtime pay)

Classification is determined based on job duties and applicable law—not job title.

Only People Operations, in consultation with Legal as needed, may determine or modify employee classification.

Managers may not alter classification or treat employees inconsistently with their designated status.

Workweek Definition

MakeWorkInc's standard workweek is defined as:

12:00 a.m. Sunday through 11:59 p.m. Saturday

Overtime eligibility is calculated based on hours worked within this defined workweek unless otherwise required by state law.

Timekeeping Requirements (Non-Exempt Employees)

Accurate Time Reporting

Non-exempt employees must:

- Accurately record all time worked
- Record start and end times each day
- Record meal breaks where required
- Submit time records in accordance with payroll deadlines

Falsification of time records is grounds for disciplinary action.

Off-the-Clock Work Prohibited

Non-exempt employees are strictly prohibited from:

- Working outside recorded hours
- Performing unpaid work
- Responding to emails or messages outside recorded hours without logging time

Managers may not request or permit off-the-clock work.

If off-the-clock work occurs, it must be reported and will be paid, but corrective action may follow.

Overtime

Federal Standard (U.S.)

Non-exempt employees are eligible for overtime pay at **1.5 times the regular rate of pay** for all hours worked over 40 in a workweek, unless a more protective state standard applies.

Some states impose daily overtime thresholds or additional requirements. The company will comply with applicable state law.

Overtime Authorization

All overtime must be approved in advance by a manager.

However:

- Unauthorized overtime must still be paid if worked.
- Working unauthorized overtime may result in disciplinary action.

Managers are responsible for workload planning to minimize unplanned overtime.

Meal and Rest Breaks

Where required by state or local law, non-exempt employees will receive:

- Meal periods of legally required duration

- Rest breaks as mandated

Employees must:

- Accurately record meal breaks if required
- Take uninterrupted meal periods

Employees who are unable to take legally required breaks must immediately notify their manager and People Operations.

Exempt employees are generally not subject to statutory meal and rest break requirements but are encouraged to take appropriate breaks.

Compensation Practices

Payroll Schedule

Employees are paid on a [biweekly/semi-monthly/monthly] basis.

Pay dates will be communicated annually and may only be adjusted with appropriate notice.

Payroll Deductions

The company will make lawful deductions including:

- Tax withholdings
- Benefit contributions
- Court-ordered garnishments
- Other authorized deductions

Employees who believe an improper deduction has occurred must notify People Operations within five (5) business days.

Improper deductions will be investigated promptly and corrected where required.

Travel Time

Compensation for travel time will comply with applicable federal and state law.

Generally:

- Ordinary home-to-work commuting time is not compensable.
- Travel during the workday is compensable.
- Overnight travel may be partially compensable depending on timing and role.

Employees should consult People Operations with questions regarding travel pay eligibility.

Remote Work and Wage Compliance

Non-exempt remote employees must:

- Record all time worked regardless of location
- Obtain approval before working outside scheduled hours
- Avoid incidental off-hours work (e.g., checking email) without recording time

Remote work does not alter wage and hour compliance obligations.

Training Time

Training time will be compensated in accordance with applicable law.

Generally, mandatory training is compensable. Voluntary training outside normal working hours may not be compensable if legal criteria are met.

All training participation must be recorded accurately.

Expense Reimbursement

Expense reimbursement is governed by the MakeWorkInc Expense Reimbursement Policy.

In states requiring reimbursement for necessary business expenses (e.g., certain remote work expenses), the company will comply with applicable law.

Reporting Concerns

Employees who believe they have experienced:

- Improper pay
- Unpaid overtime
- Missed meal or rest breaks
- Misclassification

should report concerns to:

- People Operations
- Legal
- The Whistleblower channel

The company prohibits retaliation against employees who raise wage and hour concerns in good faith.

Manager Responsibilities

Managers are responsible for:

- Monitoring workloads
- Preventing off-the-clock work
- Approving overtime appropriately
- Ensuring compliance with meal and rest break requirements
- Escalating classification questions to People Operations

Failure to comply with wage and hour requirements may result in corrective action.

Policy Governance

This policy does not create a contract of employment and does not alter at-will employment status.

MakeWorkInc reserves the right to interpret, amend, or modify this policy at any time to remain compliant with evolving laws and operational needs.